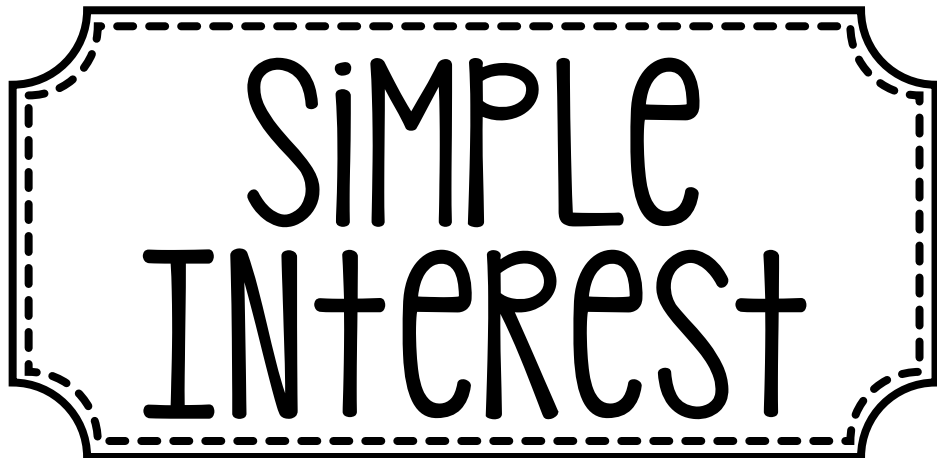




EXAMPLE 4:

Mackenzie invested \$3500 in a mutual fund at a yearly rate of 6%. She earned \$945 in interest. For how long was the money invested?

EXAMPLE 5:

Mrs. Smith invested \$4000 in a bond with a yearly interest rate of 4%. Her total interest on the investment was \$800. What was the length of the investment?

$$I = prt$$

FORMULA

Interest: _____

EXAMPLE 6:

Mr. McGee borrowed \$8,000 for 4 years to remodel his restaurant. If he repaid a total of \$10,320, at what interest rate did he borrow the money?

SOLVE FOR P, R OR t.

EXAMPLE 1:

To buy a car, Mitchell borrowed \$17,000 for 3 years at an annual simple interest rate of 9%. If it takes him 3 full years to pay off the loan, how much interest will he pay?

EXAMPLE 2:

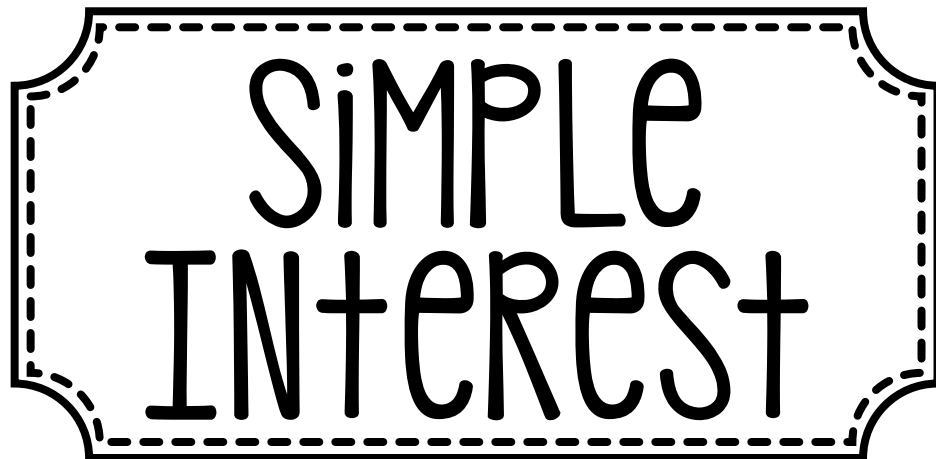
Keith's parents deposited \$2,500 into his savings account as a college fund when he was born. How much will Keith have in his account after 18 years at a yearly simple interest rate of 3.75%?

EXAMPLE 3:

A bank offers an annual simple interest rate of 7% on home improvement loans. How much would Tony owe if he borrowed \$8,000 for 18 months?

SOLVE FOR I (interest)

Answer Key!



EXAMPLE 4:

Mackenzie invested \$3500 in a mutual fund at a yearly rate of 6%. She earned \$945 in interest. For how long was the money invested?

$$I = prt$$

$$945 = 3500(0.06)(t)$$

$$945 = 210t$$

$$t = 4.5 \text{ years}$$

EXAMPLE 5:

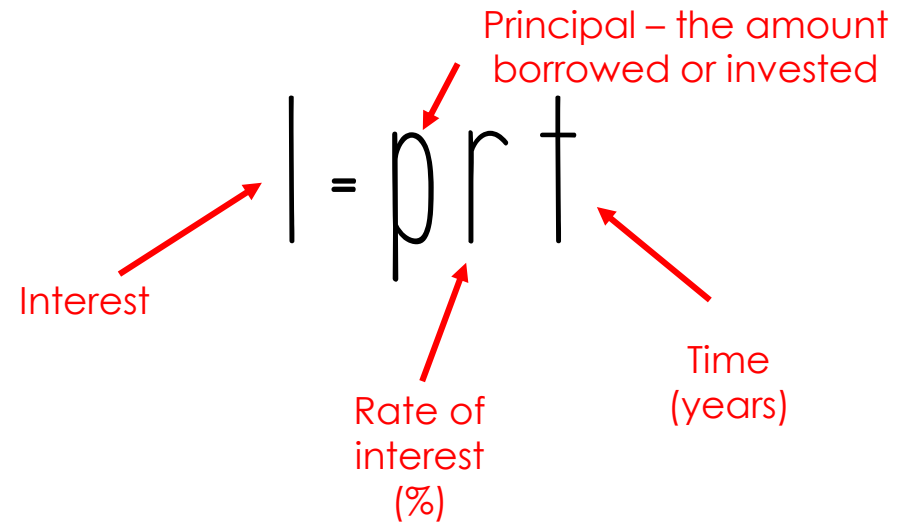
Mrs. Smith invested \$4000 in a bond with a yearly interest rate of 4%. Her total interest on the investment was \$800. What was the length of the investment?

$$I = prt$$

$$800 = 4000(0.04)(t)$$

$$800 = 160t$$

$$t = 5 \text{ years}$$



FORMULA

INTEREST: Interest is the amount of money
charged for borrowing or using money.

(Examples: Car loans, home loans, student loans,

Investments, savings accounts)

EXAMPLE 6:

Mr. McGee borrowed \$8,000 for 4 years to remodel his restaurant. If he repaid a total of \$10,320, at what interest rate did he borrow the money?

$$\begin{array}{lcl} I = prt & & \\ 2320 = 8000(r)(4) & & \$10,320 \\ 2320 = 32000r & & - \$8000 \\ 0.0725 = r & & \hline & & \$2,320 \end{array}$$

$$r = 7.25\%$$

SOLVE FOR P, R OR t.

EXAMPLE 1:

To buy a car, Mitchell borrowed \$17,000 for 3 years at an annual simple interest rate of 9%. If it takes him 3 full years to pay off the loan, how much interest will he pay?

$$I = prt$$

$$I = 17000(0.09)(3)$$

$$I = \$4,590$$

EXAMPLE 2:

Keith's parents deposited \$2,500 into his savings account as a college fund when he was born. How much will Keith have in his account after 18 years at a yearly simple interest rate of 3.75%?

$$I = prt$$

$$I = 2500(0.0375)(18)$$

$$I = 1,687.50$$

$$\$2,500$$

$$+ \$1,687.50$$

$$\$4,187.50$$

EXAMPLE 3:

A bank offers an annual simple interest rate of 7% on home improvement loans. How much would Tony owe if he borrowed \$8,000 for 18 months?

$$I = prt$$

$$I = 8000(0.07)(1.5)$$

$$I = \$840$$

$$\begin{array}{l} 18 \text{ months} \\ = 18 \div 12 \\ = 1.5 \text{ years} \end{array}$$

SOLVE FOR I (interest)

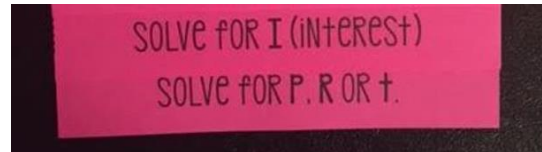
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Directions:

Print pages 1 & 2 (3 & 4 for the answer key) front to back. On my printer, I use the option to print double-sided and to flip along the **long** edge.

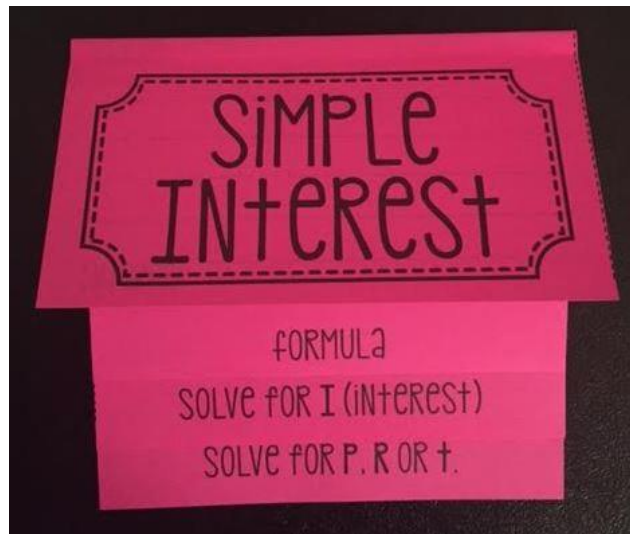
Have students cut the page in half, along the dashed line, creating two pieces.

They will then line up the two pieces as shown:



Fold over the top portion and secure with a few staples.

The final product should look like this:



Fonts provided by: KG (Kimberly Geswein Fonts)
"kg pdx Bridgetown"